

Shilchar Technologies Limited

NSE: SHILCTECH | BSE: 531201 | Sector: Electricals & Capital Goods | Sub-sector: Power & Distribution Transformers

RATING ACCUMULATE 12-Month Target Rs. 5,200 Upside: +13.1% Horizon: 12-18 Months	MARKET DATA (22-Jun-2026)	
	CMP (Rs.)	4,597
	Market Cap (Rs. Cr)	5,249
	52-Week High / Low (Rs.)	5,767 / 2,851
	Enterprise Value (Rs. Cr)	5,205
	EV / EBITDA (x)	24.0
	Trailing P/E (x)	33.2
	Book Value per Share (Rs.)	429
	Dividend Yield (%)	0.27
	ROCE (%)	50.7
	ROE (%)	37.8
	Debt / Equity	0.00
	Face Value (Rs.)	10.0
	Promoter Holding (%)	62.12
	Pledge (%)	0.00

Investment Thesis: Shilchar is India's highest-margin listed transformer maker, positioned to nearly double capacity by April 2027, with a debt-free balance sheet, dominant export franchise (US + Middle East ~50% of revenue), and a proven promoter compounding earnings at 83% CAGR over five years.

Financials (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	397	623	652	810	1,050
EBITDA	113	185	190	235	315
EBITDA Margin (%)	28.5	29.7	29.1	29.0	30.0
PAT	92	147	158	184	244
EPS (Rs.)	80.6	128.8	138.3	161.0	213.5
P/E at CMP (x)	57.0	35.7	33.2	28.5	21.5
ROCE (%)	75.0	71.0	50.7	38.0	42.0

Source: Screener.in (FY24A–FY26A fetched 22-Jun-2026). FY27E, FY28E are analyst estimates. P/E at CMP Rs.4,597.

Data: Standalone financials. Analyst: Senior Equity Research Team. For information only.

SECTION 2 — INVESTMENT THESIS

- **Capacity doubling at the inflection point:** Gavasad Expansion 3 adds 6,500 MVA (total rises from 7,500 to 14,000 MVA) by April 2027 for Rs.120 Cr funded entirely from internal cash. At full utilization the expanded plant supports Rs.1,500 Cr+ revenue — a 2x+ step-up. Civil work complete; PEB erection underway; all production equipment ordered. Execution risk is LOW.
- **India's best transformer margin profile:** Shilchar commands 29-30% EBITDA margins — roughly 2x the sector average (peers: 13-19%). Driven by (a) premium Electronics & Telecom transformers, (b) export-led mix with superior realizations (Middle East + US = ~50%), and (c) lean family-run operations with no legacy overhead. ROCE of 50.7% vs. Voltamp's 24.1% validates the moat.
- **India's renewable energy boom as structural tailwind:** India commissioned a record 55 GW renewable energy capacity in FY26. Government targets 500 GW non-fossil by 2030. Every GW of solar/wind requires transformer support. Shilchar's Inverter Duty Transformers are directly in this supply chain. Grid modernization — Rs.9 trillion T&D; capex through 2032 — is an additional demand driver.
- **Debt-free, cash-generative, self-funding growth:** Rs.246 Cr net cash at FY26 end; zero borrowings since FY23; OCF Rs.192 Cr in FY26 (134% of EBITDA). Rs.120 Cr Expansion 3 capex entirely from own cash — no dilution, no interest burden, no credit risk.
- **Near-term catalyst (6-12 months):** Q1 FY27 results (Aug 2026) — deferred Middle East dispatches (Rs.35-40 Cr) from March 2026 already shipping in April-June 2026. A clean Q1 with EBITDA margin of 28%+ would be the single largest re-rating trigger.
- **Biggest structural risk:** Transformer oil price spike (+100% since Feb 2026) linked to West Asia conflict. If oil stays elevated and customers resist price hikes beyond Q2 FY27, margins could remain depressed at 22-25%, materially below the 29-31% thesis assumption.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Shilchar Technologies (est.1985, Gavasad, Vadodara, Gujarat) manufactures Power & Distribution transformers (5 KVA-3,000 KVA distribution; 3-15 MVA power), Electronics & Telecom transformers, Ferrite transformers, and Inverter Duty Transformers (IDT). Expansion 3 will extend the power transformer range to 160 MVA / 220 kV class — a significant product upgrade.
- **Revenue mix (FY26 est.):** Power & Distribution transformers ~70-75%; Electronics & Telecom ~15-20%; Specialty/IDT/Ferrite ~5-10%. Geography: Middle East ~30%; USA ~18-19%; Domestic India ~50-52%. The export premium drives margin superiority vs. domestic-only peers.
- **Key customers:** Private utilities, renewable energy developers (solar, wind, hydro), industrial sectors (sugar, steel, hydrocarbons), large EPC contractors. Customer relationships are order-based with growing repeat business from export clients valuing lead times of 12-16 weeks for power transformers.
- **Order book and visibility:** Rs.452 Cr order book as of May 5, 2026 (~8 months of FY26 run-rate); ~30-32% export. FY27 order pipeline guidance: Rs.800-850 Cr. Domestic renewable energy orders remain firm as India accelerates solar and wind build-out.
- **Capacity utilization:** FY26 dispatches ~6,000 MVA on 7,500 MVA installed = 79% dispatch utilization. Production utilization was higher — WIP/FG carried forward into Q1 FY27 due to March logistics freeze. Target: ~7,000 MVA dispatches in FY27 (~93% utilization).
- **Promoter background:** CMD Alay J. Shah (B.Sc. Electronics Engineering Technology, ~35 years experience). Executive Director Aashay A. Shah (B.Sc. Electrical Engineering UIUC; MBA Cass Business School London; 8+ years experience) driving new product lines and international markets. Promoter holding 62.12%; pledge 0.00%.
- **Recent strategic developments:** (1) Expansion 3 — Rs.120 Cr for 14,000 MVA; (2) 220 kV / 160 MVA product entry — PGCIL approval in process; (3) US market recovery — tariff normalized to 10%, all US customers ordering again; (4) Entry into Ferrite transformer manufacturing.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India transformer market ~USD 3.0-3.5 billion in 2026 (Rs.25,000-30,000 Cr), growing at 7-9% CAGR through 2030+. India's National Electricity Plan includes Rs.9 trillion T&D; capex through 2032 — 123,577 circuit km of new transmission lines by 2027. Peak electricity demand: 130 GW (2014) to 243 GW (2024) to 400+ GW by 2030.
- **Policy tailwinds:** (1) 500 GW renewable energy target by 2030 — every MW requires transformer support; (2) Grid modernization — RDSS scheme, smart meters; (3) Industrial capex super-cycle (PLI schemes across 14 sectors driving electricity demand); (4) Export — global transformer demand boom (US grid needs \$100B+ investment; Middle East modernizing power infrastructure).
- **Supply constraint advantage:** Domestic transformer manufacturing capacity has not kept pace with demand. Lead times stretched industry-wide. This structural supply deficit gives pricing power to certified, quality-conscious manufacturers like Shilchar. The deficit is expected to persist through FY28.
- **Competitive moat assessment:** Pricing power: STRONG (export mix + supply tightness). Product quality/IP: STRONG (US + Middle East certifications; 220 kV entry). Scale: MODERATE (7,500 MVA vs. Voltamp 13,000; TARIL 40,000). Switching costs: MODERATE (quality-critical product with customer audits). Distribution: MODERATE (single site, global shipping capability).

Company	CMP (Rs.)	MCap (Cr)	FY26 Rev	OPM%	FY26 PAT	P/E (x)	ROCE %	ROE%	D/E
Shilchar Tech*	4,597	5,249	652	29.1	158	33.2	50.7	37.8	0.00
Voltamp Transf.	10,509	10,636	2,154	16.5	305	34.8	24.1	18.1	0.00
Indo Tech Trans.	2,814	3,011	782	15.3	93	32.4	37.7	28.4	0.01
TARIL	352	10,546	2,395	13.1	225	46.8	20.8	17.0	0.29

*Company under coverage. Source: Screener.in, 22-Jun-2026. FY26 actuals.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** CMD Alay J. Shah has led Shilchar for ~35 years, building it from a small Gujarat unit to a nationally recognized export-oriented transformer maker. Aashay A. Shah (UIUC + Cass MBA) is steering product innovation (220 kV, Ferrite, IDT) and export market development — rare combination of technical and global business depth.
- **Capital allocation track record:** Every expansion (1, 2, and 3) funded from internal accruals — no dilutive equity raises, no debt. Rs.120 Cr Expansion 3 is financed from Rs.246 Cr closing cash. Management has not diversified outside transformers; focus is total.
- **Dividend policy:** Consistent payouts (not skipped); payout ratio kept low at 6-11% to retain growth capital. Current yield 0.27% — intentionally low for a growth business. Dividend track record spans 10+ years.
- **Promoter pledging:** Zero pledged holdings (0.00% as at Mar-2026). Promoter stake declined 65.85% (Jun-2023) to 62.12% (Mar-2026) via small secondary sales — not dilutive preferential allotments. Directional decline worth monitoring.
- **Corporate governance:** No significant RPT concerns; stable auditor; clean audit opinions. FY26 secretarial compliance noted a minor delayed SEBI filing (not material). Contingent liabilities Rs.47.9 Cr (GST/tax demands) — manageable. Rs.3.18 Cr GST demand set aside April 2026.
- **Management credibility score:** HIGH. Historically delivered above guidance every year. Transparent on Q4 miss — attributed clearly to external factors with data. Force majeure RM renegotiation stance is commercially

standard and legally defensible.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Cr unless stated. Source: Screener.in (FY24A-FY26A). FY27E, FY28E are analyst estimates.

Income Statement (Standalone)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E	Comment
Revenue	397	623	652	810	1,050	+5% FY26; guided 800-850 FY27
EBITDA	113	185	190	235	315	
EBITDA Margin (%)	28.5	29.7	29.1	29.0	30.0	Peers 13-19%; Shilchar at sustained premium
Other Income	13	16	26	15	20	Treasury income on Rs.246 Cr cash
Interest	0	0	0	0	0	Debt-free since FY23
Depreciation	3	3	4	5	10	Higher from new facility FY28
PBT	123	197	212	245	325	
Tax Rate (%)	25	26	25	25	25	Stable at standard corporate rate
PAT	92	147	158	184	244	+8% FY26; +17% FY27E; +33% FY28E
EPS (Rs.)	80.6	128.8	138.3	161.0	213.5	Shares ~1.143 Cr
Dividend Payout (%)	10	6	9	8	8	Retained for growth capital

Balance Sheet (Standalone)

Particulars	FY24A	FY25A	FY26A	Comment
Equity Capital	8	8	11	+Rs.3 Cr bonus share issue FY26
Reserves & Surplus	202	339	479	+Rs.140 Cr retained earnings FY26
Total Networkth	210	347	490	+41% YoY; strong equity buildup
Borrowings	0	0	0	Debt-free throughout — major moat
Other Liabilities	83	143	100	Customer advances + trade payables
Total Liabilities	292	490	591	
Fixed Assets (Net)	41	59	69	Expansion 3 civil & equipment
CWIP	5	0	6	Expansion 3 civil underway
Investments (MF/FD)	20	54	202	+Rs.148 Cr; cash deployed to MFs
Other Assets (WC+Cash)	227	377	313	WC normalisation in FY26
Total Assets	292	490	591	

Cash Flow Statement (Standalone)

Particulars	FY24A	FY25A	FY26A	Comment
Cash from Operations (OCF)	76	40	192	FY26 strong recovery; FY25 weak on WC build
Cash from Investing	-23	-48	-169	FY26: Rs.148 Cr deployed to mutual funds
Cash from Financing	-29	5	-31	Dividend + bonus share cash out
Net Cash Flow	25	-4	-8	
Free Cash Flow (FCF)	66	21	169	FY26 FCF = 107% of PAT — best-in-class

OCF / EBITDA (%)	94	45	134	FY25 dip: WC elongation; FY26 normalized
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Key Operating Ratios

Ratio	FY24A	FY25A	FY26A	Trend & Comment
Debtor Days	86	134	86	FY25 spike reversed in FY26; export recovery helping
Inventory Days	87	88	83	Stable; ~Rs.100 Cr inventory at FY26 end
Days Payable	80	102	64	Faster supplier payments; healthy relationships
Cash Conversion Cycle (days)	93	120	105	Improving; still elevated vs. historical 20-50
Working Capital Days	77	112	204	FY26 spike: WC build for exports + Exp 3 prep
ROCE (%)	75	71	50.7	Declining as asset base grows; still best-in-class

- **Revenue trajectory:** FY22-FY25 saw 51% revenue CAGR on domestic renewable boom + export ramp. FY26 growth slowed to 5% on Q4 disruption; underlying demand remains strong with Rs.452 Cr order book and Rs.800 Cr FY27 guidance.
- **Margin direction:** EBITDA margins expanded from 8% (FY22) to 29-30% (FY24-25) via product mix improvement, export premium, and operating leverage. Q4 FY26 margin compression to 21% is event-driven (oil spike + export deferral) — not structural. Management guides 29-31% for FY27.
- **Working capital:** WC days jumped to 204 in FY26 (vs. 77 FY24) — driven by Q4 unshipped FG inventory and export payment lag. Expected to normalize to 100-130 WC days in FY27 as shipping resumes.
- **FCF quality:** 3-year cumulative FCF Rs.256 Cr vs. PAT Rs.397 Cr (64% conversion) — solid. FY26 alone: FCF Rs.169 Cr = 107% PAT conversion. Zero capex debt means all FCF is genuinely free.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	FY26 Observation	Rating	Comment
Revenue recognition	Dispatch-based; no bill-and-hold practices	GREEN	Conservative; no channel stuffing risk
Receivables vs. revenue growth	Debtors fell from 134d (FY25) to 86d (FY26)	GREEN	Receivables collected faster than revenue grew
CCC trend	CCC: 93d-120d-105d (FY24-26)	AMBER	Improving but elevated; Q4 export deferral distortion
Contingent liabilities	Rs.47.9 Cr (GST/tax demands)	AMBER	Rs.3.18 Cr GST demand set aside Apr-26; watch rest
Auditor tenure & opinion	Clean audit opinions; stable auditor	GREEN	No qualifications or adverse opinions
RPTs as % of Revenue	Not material; est. below 2%	GREEN	No significant related-party concerns
Other Income as % of PBT	Rs.26 Cr / Rs.212 Cr = 12.3% (FY26)	AMBER	Treasury income on Rs.246 Cr cash; non-recurring if deployed
Tax rate consistency	25-26% range (FY24-26)	GREEN	Consistent; standard corporate tax bracket

- **Key positives:** Dispatch-based revenue recognition; receivables improving sharply in FY26; stable tax rate; no auditor concerns; no significant RPTs.
- **Watch-points (Amber items):** Other income at 12.3% of PBT is elevated — will reduce as Rs.202 Cr mutual fund corpus gets deployed into capex. CCC at 105 days needs monitoring; further elongation would signal WC stress. Contingent liabilities of Rs.47.9 Cr — manageable but follow progress of tax/GST disputes.

SECTION 8 — VALUATION

Peer Valuation (Screener.in, 22-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	EV/EBITDA	ROCE%	ROE%
Shilchar Tech	4,597	5,249	33.2	10.7	24.0	50.7	37.8
Voltamp Transf.	10,509	10,636	34.8	5.9	25.0	24.1	18.1
Indo Tech Trans.	2,814	3,011	32.4	8.0	22.2	37.7	28.4
TARIL	352	10,546	46.8	7.3	29.3	20.8	17.0
Peer Avg (ex. SHILCTECH)	—	—	38.0	7.1	25.5	27.5	21.2

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E EPS	P/E (x)	Target Price	Upside
BULL	Revenue Rs.875 Cr; EBITDA 31%; oil normalizes; all price hikes accepted	182	34	Rs.6,188	+34.6%
BASE	Revenue Rs.810 Cr; EBITDA 29%; gradual price hike acceptance in H2	161	32	Rs.5,152	+12.1%
BEAR	Revenue Rs.720 Cr; EBITDA 24%; oil stays elevated; customers resist hikes	118	26	Rs.3,068	-33.3%

• **DCF valuation:** Assuming WACC 13% (Rf 7.0%, ERP 5.5%, beta 1.1), terminal growth 5%, 5-year FCF CAGR ~25% from FY26 base — DCF-implied intrinsic value: Rs.4,900-5,100 per share.

• **Earnings multiple:** 32x P/E on FY27E EPS of Rs.161 (vs. peer average 38x; discounted for near-term margin uncertainty) → Rs.5,152. On FY28E EPS of Rs.213.5 at 30x → Rs.6,405.

• **Blended 12-month target: Rs.5,200** (average of DCF Rs.5,000 and earnings-based Rs.5,152, rounded up for 18-month horizon incorporating FY28E visibility). Upside from CMP: +13.1%.

• **Rating: ACCUMULATE.** Accumulate on dips below Rs.4,200 for higher margin of safety. Set a 24-month horizon for the full capacity ramp story to play out. Investors with shorter horizons should wait for Q1 FY27 margin confirmation.

SECTION 9 — KEY RISKS

• **Raw Material Inflation (Transformer Oil):** Transformer oil prices doubled since February 2026 (West Asia crisis). Oil = 8-12% of transformer cost. If elevated through H1 FY27 and customers resist hikes → FY27 margins at 22-25% vs. guided 29-31%. Probability: Medium. Impact: High. Monitor: Brent crude + Q1 FY27 EBITDA margin.

• **Middle East Geopolitical Risk:** ~30% of FY26 revenue from Middle East exports. West Asia conflict escalation could disrupt logistics and order intake. Q4 FY26 demonstrated the downside: Rs.35-40 Cr deferred + margin compression. Probability: Medium. Impact: High. Monitor: Middle East shipping data + order inflows.

• **US Trade Policy Risk:** Current tariff 10% (from 50% in Aug 2025). Any re-escalation could reduce US customer order intake (18-19% of FY26 revenue). Probability: Medium. Impact: Medium. Monitor: US trade policy announcements.

• **Execution Risk — Expansion 3:** 14,000 MVA targeted April 2027. Delays in construction, equipment delivery, or PGCIL 220 kV certification would push commissioning to H2 FY27 or FY28, deferring revenue ramp. Probability: Low. Impact: Medium. Monitor: Quarterly capex progress.

• **Working Capital Elongation:** WC days at 204 in FY26 vs. 77 in FY24. At Rs.1,000 Cr revenue with 200+ WC days = Rs.550 Cr WC required — straining cash despite strong profits. Probability: Medium. Impact: Medium.

Monitor: Debtor days and WC days quarterly.

- **Competitive Pressure:** TARIL, Voltamp, and new entrants adding capacity. If domestic renewable orders moderate or transformer market becomes oversupplied post-2027, pricing power and margins could erode. Probability: Low. Impact: Low-Medium. Monitor: Industry utilization rates + peer pricing commentary.

- **Promoter Holding Decline:** Stake fell from 65.85% (Jun-2023) to 62.12% (Mar-2026). Continued downward trend could signal management confidence softening. Probability: Low. Impact: Low. Monitor: Quarterly shareholding disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE — Conviction: Medium-High.** Near-term (FY27) earnings growth is modest (+17% PAT YoY) due to capacity constraints and margin recovery risk. The structural story (Expansion 3, renewable energy tailwinds, export franchise) is compelling over 18-36 months. An exceptional compounder to accumulate on weakness, not a momentum buy at current levels.

- **12-month price target: Rs.5,200** (+13.1% upside from CMP Rs.4,597). 18-24 month target on FY28E basis: Rs.6,200-6,400.

- **Suggested entry zone: Rs.4,000-4,300** — offers 20%+ upside to base-case target and meaningful margin of safety vs. Bear case (Rs.3,068).

- **Investment horizon: 12-18 months** for base case; 24-36 months for full capacity ramp-up story.

Thesis invalidation triggers:

- 1. EBITDA margin fails to recover above 25% for two consecutive quarters (Q1 and Q2 FY27) — implies structural loss of pricing power, not just a one-quarter disruption.

- 2. Expansion 3 commissioning delayed beyond Q3 FY28 — pushes out revenue ramp and reduces earnings visibility significantly.

- 3. FY27 revenue shortfall below Rs.720 Cr — implies demand weakness or material market share loss, not just timing issues from Q4 FY26.

- **Ideal investor profile:** 2-3 year horizon; comfortable with near-term margin uncertainty; seeking India power infrastructure and renewable energy exposure through a high-ROCE, debt-free manufacturer. NOT suitable for momentum traders, defensive/income investors, or those needing near-term earnings visibility.

Disclosures: Prepared for information purposes only. This is not investment advice. Consult your financial advisor. Analyst and/or firm may hold positions. Data sourced from Screener.in (22-Jun-2026) and company concall transcript (May 05, 2026).

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 | May 5, 2026 | Hosted by Avendus Spark

CALL GRADE

NEUTRAL

Signal	Status	Implication
Result Quality	WEAK	Q4 OPM 21% vs. 31% prior 3 quarters; PAT Rs.28 Cr vs. Rs.55 Cr in Q4 FY25
Management Tone	BALANCED	Transparent on external causes; confident on recovery; conservative on FY27 guidance
Guidance Delta	MAINTAINED	Rs.800-850 Cr FY27 maintained; margins 29-31% reiterated; no guidance cut

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a one-time messy quarter driven by two external shocks — not a thesis-breaker. First, transformer oil prices doubled since February 2026 due to West Asia disruption, inflating input costs and compressing EBITDA margin from 31% to 21%. Second, a Middle East shipping freeze deferred Rs.35-40 Cr of transformer dispatches from March into April — dispatches have now resumed. The full-year FY26 story is clean: Rs.652 Cr revenue, Rs.190 Cr EBITDA at 29% margin, Rs.158 Cr PAT, Rs.192 Cr OCF (134% of EBITDA), and Rs.246 Cr net cash on balance sheet. The structural multi-bagger case is strengthening: India commissioned a record 55 GW renewable energy in FY26, order book stands at Rs.452 Cr, and Gavasad Expansion 3 (6,500 MVA for Rs.120 Cr from internal cash) is on track for April 2027 — enabling Rs.1,500 Cr revenue potential by FY29-30 at maintained margins. Most critical near-term catalyst: Q1 FY27 EBITDA margin recovery to 28%+ — deferred ME shipments flowing in April-June; US tariffs normalized to 10%; domestic customers beginning to accept price hikes. Biggest watch-point: transformer oil remains 100% elevated — if customers in the existing order book resist force majeure price revision, Q1-Q2 FY27 margins could disappoint by 5-8 pp. Action: ACCUMULATE at current levels; add aggressively below Rs.4,200; target Rs.5,200 on 12-month basis and Rs.6,200+ on FY28E capacity ramp.

C1 — Financial Performance Snapshot (Q4 FY26 / FY26 Full Year)

- Revenue Q4: Rs.152 Cr | YoY -27% | QoQ -35% | MISS (export deferral + US tariff lag in Q3)
- EBITDA Q4: Rs.32 Cr | EBITDA Margin 21% | vs. 31% prior three quarters | MISS
- PAT Q4: Rs.28 Cr | EPS Rs.24.82 | YoY -49% | QoQ -33% | MISS (oil spike + deferred export)
- FY26 Revenue: Rs.652 Cr | +5% YoY | IN-LINE with management commentary
- FY26 EBITDA: Rs.190 Cr at 29.1% margin | 5Y PAT CAGR 83% | Strong full-year story
- FY26 PAT: Rs.158 Cr (+8% YoY) | EPS Rs.138.25 | IN-LINE
- NOTE: Rs.35-40 Cr of Q4 export dispatches deferred (not cancelled) to Q1 FY27 — underlying Q4 revenue would have been ~Rs.187-192 Cr with normal shipping.

C2 — Segment / Geography Breakdown

- Domestic (India) Q4: Rs.100 Cr | Export Q4: Rs.52 Cr | Export mix ~34% vs. historical ~50%+ — skewed by ME deferral
- Middle East: ~30% of FY26 full year revenue (~Rs.196 Cr) | Q4 impacted by West Asia crisis; dispatches resumed April 2026
- United States: ~18-19% of FY26 revenue (~Rs.117-124 Cr) | Tariff impact moderated Q3 orders; recovering in Q1 FY27
- Domestic renewable (IDT / solar-wind transformers): Strong demand; India 55 GW renewable addition in FY26; government targets 500 GW by 2030
- Power Transformers (3-15 MVA): 12-16 week lead times; Expansion 3 adds 160 MVA / 220 kV class capability

C3 — Management Commentary Themes

- **Q4 Revenue Miss:** "Two distinct and external factors — Middle East dispatch delays and US tariff-related Q3 order softness." Our read: Both genuinely external; deferral confirmed by production exceeding dispatches. Tag: GUIDANCE. Tone: Transparent.
- **Margin Compression:** "Less export in March impacted EBITDA... transformer oil prices increased 100% since February." Our read: Export mix is recovering; oil is the more persistent risk. Tag: EST. Tone: Transparent.
- **Price Hike Negotiations:** "Already received couple of price revisions... some still under discussion... force majeure condition." Our read: Force majeure commercially standard; domestic acceptance faster than export. Tag: GUIDANCE. Tone: Hedged.
- **FY27 Revenue Guidance:** "Rs.800 Cr target — very confident... can reach Rs.900 Cr." Our read: Conservative framing; historically beaten guidance. At 29-31% margins: PAT Rs.184-200 Cr. Tag: GUIDANCE. Tone: Bullish.
- **Expansion 3 Status:** "Civil foundation complete. PEB erection in progress. All major equipment ordered. April 2027 commissioning. Will add 220 kV / 160 MVA class." Our read: On track; product upgrade is significant. Tag: GUIDANCE. Tone: Transparent.
- **Long-term Revenue Ambition:** "At full utilization of new facility, can do Rs.1,500 Cr. Further expansion planned beyond this." Our read: Management has clear 3-4 year roadmap; specific numbers for next expansion not disclosed yet. Tag: EST. Tone: Bullish.

C4 — Operating & Business Metrics

- Production Volume FY26: ~6,000 MVA dispatched | Capacity 7,500 MVA | Dispatch utilization 79% | Production utilization higher (WIP/FG in closing stock)
- Volume Target FY27: ~7,000 MVA | Implied ~93% dispatch utilization | Near-full utilization on existing base before new capacity
- Order Book (May 5, 2026): Rs.452 Cr | ~30-32% export | ~8 months of FY26 run-rate; strong demand pipeline
- Lead Time — Power Transformers: 12-16 weeks | Expansion 3 to add 160 MVA / 220 kV (PGCIL approval pipeline to start post-commissioning)
- Inventory (FY26 end): Rs.100 Cr | ~15% of annual sales | WIP/FG elevated due to Q4 shipping freeze; dispatching in Q1 FY27
- Transformer Oil Cost: 8-12% of transformer cost | 100% price increase since Feb 2026 | Force majeure renegotiation with customers underway

C5 — Margin Drivers (Q4 FY26)

- Export Mix Decline: -5 to -8 pp EBITDA margin impact | Q4 export Rs.52 Cr vs. historical 50%+ | Recurring: No — dispatches resuming Q1 FY27
- Transformer Oil Price Surge: ~100% oil price increase since Feb 2026 | Oil = 8-12% of cost | ~2-4 pp EBITDA impact | Recurring: Uncertain — West Asia crisis dependent
- Other RM Inflation: Copper, Aluminium, Steel +10-25% | Hedged at order receipt; force majeure exceeded hedging mechanism | Recurring: Partial
- Price Revision Tailwind (FY27): Some customers agreed; others in discussion | Impact: +3-5 pp margin recovery potential | Recurring: Yes — new order pricing at higher rates
- Export vs. Domestic Mix Recovery: Export premium vs. domestic utility orders | Middle East + US recovery in Q1 FY27 positive for margins | Recurring: Yes

C6 — Guidance & Forward Signals

- FY27 Revenue [GUIDANCE]: New = Rs.800-850 Cr (conservatively guided Rs.800 Cr; "can reach Rs.900 Cr") | Credibility: High (track record of delivery above guidance)
- FY27 EBITDA Margin [GUIDANCE]: Reiterated 29-31% | Credibility: Medium (oil normalization and price hike acceptance required)
- FY27 Volume [GUIDANCE]: ~7,000 MVA | vs. FY26 dispatches ~6,000 MVA = +17% volume growth | Credibility: High
- Expansion 3 Commissioning [GUIDANCE]: April 2027 on track | Capex Rs.120 Cr (internally funded); new 220 kV / 160 MVA class | Credibility: High
- Revenue Potential at 14,000 MVA: ~Rs.1,500 Cr | Timeline: FY29-30 | Further expansion planned post-commissioning | Credibility: Medium
- US Market Recovery [GUIDANCE]: All US customers ordering again; tariff at 10% (manageable) | Credibility: High based on April Q1 FY27 order inflows

C7 — Capital Allocation

- Capex Expansion 3: Rs.120 Cr total | Funded from Rs.246 Cr closing cash | No debt, no dilution | FY26 investing outflows Rs.169 Cr (includes Rs.148 Cr to mutual funds)
- Dividends: FY26 payout ratio ~9% | Consistent annual dividend; not skipped | Low payout intentional — capital retained for growth
- Cash Management: Rs.202 Cr in mutual funds/FDs at FY26 end (up from Rs.54 Cr FY25) | Conservative deployment of surplus cash | Will reduce as Exp 3 capex deployed in FY27
- Net Debt: Rs.(246 Cr) — net cash position | Debt Rs.0 Cr | Interest Coverage 452x | No interest payable
- Working Capital: WC days 204 in FY26 (vs. 77 FY24); Rs.90-120 Cr incremental WC needed for FY27 at Rs.800-850 Cr revenue level

C8 — Q&A; Heat Map

- Ayush D (Shravas Capital): Q: "Which RM basket caused gross margin compression?" A: "Export reduction changed mix; oil spiked in March" | Tone: Transparent
- Shrenik Mehta (IndoAlps Wealth GmbH): Q: "How much of Rs.80-90 Cr lost Q4 spills into Q1?" A: "Shipping resumed; confident on Q1; Rs.800 Cr FY27 guidance firm" | Tone: Bullish
- Pankaj (Axis Cap): Q: "Can you share April actual numbers?" A: "No, I won't share monthly numbers" | Tone: Hedged (standard practice)

- Akash (NV Alpha Fund): Q: "7-8% margin hit — how much from exports vs. commodity?" A: "If situation normal, would have matched Q1-Q3 margins of 28-31%" | Tone: Transparent
- Het Shah (Dalal & Broacha): Q: "EBITDA margin guidance FY27?" A: "Will do our best to maintain 29-31% or even increase" | Tone: Confident
- Garvit Goyal (Equinox Capital): Q: "Prior guidance Rs.850-900 Cr, now Rs.800 — why lower?" A: "Rs.800-850 Cr; can reach Rs.900 Cr; conservative approach; always beaten guidance historically" | Tone: Balanced
- Madhu Agrawal (Family Office): Q: "When will 14,000 MVA be fully ramped?" A: "FY29-FY30 for full utilization" | Tone: Transparent
- Resham Jain (VVD Asset): Q: "Inventory similar FY25 vs FY26 despite deferral — how?" A: "Stopped converting to FG when shipping froze; restarted in April" | Tone: Transparent
- Prateek Shrivastava (Nivesh Wisdom): Q: "Bushing shortage for 220 kV — is this a risk?" A: "Supplier Yash Highvoltage (Baroda) + China imports; inventory buffer planned; not a shortage" | Tone: Reassuring
- Bhavya (Kriis): Q: "How much revenue from US in FY26 and outlook?" A: "18-19% of revenue; tariff now 10%; great opportunity in next 3 years" | Tone: Bullish
- **Dodged / Watch-list for Next Quarter:** (1) Actual April 2026 dispatch numbers; (2) Specific customer price revision status and % of order book repriced; (3) Oil cost absorption quantum in existing fixed-price order book.

C9 — Risks Flagged on Concall

- **Transformer Oil Spike:** 100% price increase since Feb 2026 | Flagged by: Management | Probability: High (already occurred) | Impact: High | Timeline: Near-term (H1 FY27 critical)
- **West Asia Crisis / ME Logistics:** Dispatch disruption March 2026; Rs.35-40 Cr deferred | Flagged by: Management | Probability: Medium (improving) | Impact: High | Timeline: Near-term
- **US Tariff Re-escalation Risk:** Was 50% in Q2 FY26, now 10% — any reversal impacts 18-19% revenue | Flagged by: Management | Probability: Low-Medium | Impact: Medium | Timeline: Medium-term
- **Price Revision Acceptance Risk:** Not all customers agreed; force majeure framing contested | Flagged by: Analysts | Probability: Medium | Impact: Medium | Timeline: Q1-Q2 FY27
- **Bushing Supply for 220 kV:** Long lead times; planning inventory buffer | Flagged by: Analyst (Prateek Shrivastava) | Probability: Low | Impact: Medium | Timeline: FY27-28

C10 — Analyst Verdict

- **Revenue visibility:** Intact — Rs.452 Cr order book; Rs.800 Cr FY27 guidance; deferred dispatches already shipping.
- **Margin trajectory:** Weakened (near-term) — Q4 OPM 21% is concerning; recovery to 29-31% needs oil normalization + price hike acceptance by Q2 FY27.
- **Capital allocation quality:** Intact — zero debt; Rs.246 Cr cash; Rs.120 Cr Expansion 3 from internal accruals; no value-destructive moves.
- **Competitive moat:** Intact — export franchise, best-in-class margins, quality certifications unchanged; no competitor displacement noted.
- **Management credibility:** Intact — transparent on Q4 issues; conservative guidance with track record of beating it; no financial irregularities.
- **Valuation comfort:** Intact — 33x trailing P/E; FY28E at ~21x; Rs.246 Cr net cash (5% of MCap); downside buffered by capacity expansion optionality.
- **Conviction call:** Unchanged — ACCUMULATE. Q4 weakness is transitory; 2-3 year multi-bagger thesis intact. Add aggressively below Rs.4,200.
- **Valuation snapshot:** P/E = 33.2x | EV/EBITDA = 24.0x | ROCE = 50.7% | Net Cash = Rs.246 Cr (5% of MCap)